

CLAT Express - December 2025: Study Notes

Chapters, topics and sub-topics with key facts, memory aids and mind-map outlines.

National News and Issues

Protection of Aravalli Hills

Geography and Basic Facts

The Aravalli range is the oldest mountain system in India, about 2 billion years old and dating to the Precambrian era. It extends 692 km from Champaner in Gujarat through Rajasthan and Haryana to Delhi. Its highest peak is Guru Shikhar, at 1722 m, near Mount Abu in Rajasthan.

- Oldest mountain system in India, about 2 billion years old
- Dates to the Precambrian era
- Extends 692 km from Champaner (Gujarat) to Delhi
- Passes through Gujarat, Rajasthan, Haryana and Delhi
- Ends at Raisina Hill in Delhi
- Highest peak: Guru Shikhar, 1722 m
- Guru Shikhar is near Mount Abu in Rajasthan
- Source of rivers including Luni, Banas and Sabarmati
- Mineral base: copper, zinc, lead, silver and Makrana marble
- Boasts 22 wildlife sanctuaries, four tiger reserves and bird parks

Mind-map outline

Geography of the Range

- Age
 - Oldest mountain system in India
 - About 2 billion years old
- Route
 - Champaner, Gujarat, to Delhi
 - 692 km long
- Peaks
 - Guru Shikhar, 1722 m
 - Near Mount Abu, Rajasthan
- Rivers
 - Luni, Banas, Sabarmati

Ecological Services of the Range

The range works as a natural barrier that slows the eastward spread of the Thar Desert by blocking dust-laden desert winds. It deflects moisture-laden monsoon winds eastward, shields northern plains from cold, dry winter winds from Central Asia, and filters pollution for Delhi-NCR. Its fractured, weathered rocks let rainwater infiltrate and recharge aquifers in semi-arid regions.

- Natural Great Green Wall: barrier against eastward spread of the Thar Desert
- Blocks dust-laden desert winds
- Monsoon modulator: deflects moisture-laden winds eastward toward the Indo-Gangetic Plains
- Aids rainfall distribution in North India
- Winter climate shield against cold, dry winds from Central Asia
- Forested stretches absorb carbon dioxide in Delhi-NCR
- Forested stretches trap PM2.5 and improve air quality
- Highly fractured and weathered rocks enable rainwater infiltration
- Recharges aquifers in semi-arid Rajasthan, Haryana and Gujarat
- Habitat for over 300 plant species and 120 bird and animal species

Mind-map outline

Ecological Services

- Thar Desert barrier
 - Blocks dust-laden desert winds
- Monsoon

- Deflects moisture-laden winds eastward
- Aids rainfall in North India
- Winter
 - Shields plains from cold, dry winds
- Delhi-NCR air
 - Absorbs carbon dioxide
 - Traps PM2.5
- Groundwater
 - Fractured rocks enable infiltration
 - Recharges semi-arid aquifers

Mining Curbs and the 2025 Supreme Court Ruling

Protection measures began with 1990s mining restrictions and continued through Supreme Court orders, including a 2009 blanket mining ban in parts of Haryana and a 2024 order barring fresh leases. In 2025 the Court accepted a uniform scientific definition of an Aravalli hill, based on an MoEF&CC expert committee. The Forest Survey of India assessment found that over 90 per cent of the Aravalli landscape would be excluded under the 100 m threshold, which sparked fears of more mining and construction.

- 1990s: restrictions on mining
- 2009: SC blanket mining ban in parts of Haryana
- MC Mehta vs Union of India: mining restricted and banned across large parts of the range
- 2024: SC order bars fresh leases; Central Empowered Committee tasked with scientific review
- 2025 definition based on MoEF&CC Expert Committee
- Aravalli hill: landform rising 100 m or more above its immediate local terrain
- Aravalli ranges: clusters of such hills within 500 m, including intervening areas
- Mining banned in core/inviolable areas such as protected areas, ESZs, wetlands and tiger reserves
- Freeze on new mining leases until a Management Plan for Sustainable Mining is prepared by the Indian Council of Forestry Research and Education
- Over 90% of Aravalli landscape excluded by the 100 m threshold

Mnemonic - Hill and range definition: 100 makes a hill, 500 makes a range

100 = Metres above immediate local terrain for a landform to be an Aravalli hill; 500 = Metres within which hills cluster to form an Aravalli range, including intervening areas

Mind-map outline

Protection and 2025 Ruling

- Earlier curbs
 - 1990s mining restrictions
 - 2009 blanket ban in parts of Haryana
 - 2024: no fresh leases
- 2025 definition
 - Hill: 100 m above local terrain
 - Range: hills within 500 m
- Restrictions
 - Core areas: no mining
 - Freeze until MPSM is prepared
- Concern
 - Over 90% landscape excluded

Aravalli Green Wall and Afforestation Policies

The Aravalli Green Wall Project, inspired by Africa's Great Green Wall, is a 1400 km by 5 km ecological corridor across Gujarat, Rajasthan, Haryana and Delhi, launched in 2019. It targets restoring 1.1 million hectares by 2027 through native plantations, around 1,000 nurseries and removal of invasive species. Wider national policies include the National Forest Policy's one-third target, the National Mission for a Green India, CAMPA and India's Bonn Challenge pledge.

- 1400 km x 5 km ecological corridor across Gujarat, Rajasthan, Haryana and Delhi
- Covers 29 districts
- Target: restore 1.1 million hectares by 2027

- Launched in 2019; nodal ministry is the Ministry of Environment, Forest and Climate Change
- Works: native plantations, around 1,000 nurseries, invasive species removal, water body restoration
- National Forest Policy (1988): at least one-third of land under forest/tree cover
- National Mission for a Green India is part of the National Action Plan on Climate Change
- CAMPA uses funds collected from diverted forest land for afforestation
- Bonn Challenge: India aims to restore 26 million hectares by 2030
- Matri Van Initiative: 750-acre urban forest under 'Ek Ped Maa Ke Naam'

Mnemonic - Green Wall targets: Twenty-nine districts, one point one million hectares by 2027

29 = Districts covered by the Aravalli Green Wall Project; 1.1 million = Hectares to be restored under the Green Wall Project; 2027 = Target year for the restoration

Mind-map outline

Green Wall and Afforestation

- Green Wall Project
 - 1400 km x 5 km corridor
 - Target: 1.1 million hectares by 2027
 - Covers 29 districts
- Works
 - Native plantations
 - About 1,000 nurseries
 - Invasive species removal
- National policies
 - Forest policy: one-third cover
 - National Mission for a Green India
 - CAMPA
 - Bonn Challenge: 26 million ha by 2030
- Urban forestry
 - Matri Van: 750-acre urban forest

VB-G RAM G Bill 2025

Why MGNREGA Is Being Replaced

The Viksit Bharat G RAM G Bill 2025 was introduced in the Lok Sabha to replace MGNREGA, which was enacted in 2005. The government argues that the older framework is outdated given changes in the rural economy, livelihoods and employment patterns. Criticism of the older scheme includes the creation of low-utility or non-durable assets and a funding model that is open-ended.

- Bill name: Viksit Bharat - Guarantee for Rozgar and Aajeevika Mission (Gramin) Bill, 2025
- Introduced in Lok Sabha to replace MGNREGA
- MGNREGA was enacted in 2005
- Framework argued to be outdated given changes in rural economy, livelihoods and employment
- Criticism over creation of low-utility or non-durable assets
- Shift from open-ended funding to normative allocations aims at better fiscal management
- Farmers report labour shortages during sowing and harvest seasons
- Bill is framed under the national vision of Viksit Bharat @2047

Mind-map outline

Why replace MGNREGA

- Framework outdated
 - Changes in rural economy and livelihoods
- Asset quality concerns
 - Low-utility or non-durable assets
- Funding model
 - Open-ended funding to normative allocation
- Farm labour shortage
 - Sowing and harvest seasons

Key Features of the Bill

The bill raises the statutory work guarantee to 125 days per rural household per financial year and lets states suspend the scheme for up to 60 days in sowing and harvesting seasons. Works must align with four national priorities for durable asset creation. An unemployment allowance applies if work is not provided within 15 days of a household's application.

- 125 days of guaranteed unskilled manual work per rural household per financial year
- Earlier guarantee under MGNREGA was 100 days
- States can suspend the scheme for up to 60 days during sowing and harvesting seasons
- Shift to a Centrally Sponsored Scheme with shared financial responsibility
- States/UTs funding: 60% Centre : 40% State
- North-Eastern and Himalayan States funding: 90% Centre : 10% State
- Four priorities: Water Security, Core Rural Infrastructure, Livelihood-related Infrastructure, Special Works for Extreme Weather Events
- Unemployment allowance if work is not provided within 15 days of application
- Weekly wage payments are envisaged

Mnemonic - Four national priorities: Wise Choices Lift Everyone

W = Water Security; C = Core Rural Infrastructure; L = Livelihood-related Infrastructure; E = Special Works for Extreme Weather Events

Mnemonic - Funding ratios: Sixty-forty for most, ninety-ten for the hills

60:40 = Centre:State share for States/UTs; 90:10 = Centre:State share for North-Eastern and Himalayan States

Mind-map outline

Key features

- Employment guarantee
 - 125 days per household per year
 - Earlier 100 days under MGNREGA
- Seasonal pause
 - Up to 60 days in peak season
- Durable assets
 - Four national priority themes
- Unemployment allowance
 - If work not given within 15 days
- Wages
 - Weekly payments envisaged

MGNREGA vs the Proposed Bill

The comparison sets out the two frameworks on guaranteed workdays, wage funding, nature of the right, budgeting, operating period and payment timing. MGNREGA gave a justiciable right with open-ended funding, while the proposed bill makes the guarantee subject to a fixed budget cap. The bill also allows seasonal pauses and envisages weekly wage payments.

- Guaranteed workdays: MGNREGA at least 100 days; proposed bill 125 days
- Wage funding: MGNREGA Centre bears 100% of unskilled wage cost; proposed 60:40 for most states
- Nature of right: MGNREGA is justiciable, citizens can sue if work is denied; proposed is a schematic entitlement
- Budget cap: the proposed guarantee is limited by a fixed budget cap
- Budgeting: MGNREGA uses a labour budget reflecting actual demand; proposed uses a fixed state-wise allocation
- Operating period: MGNREGA runs continuously; proposed allows suspension for up to 60 days in peak seasons
- Payment frequency: MGNREGA mandates payment within 15 days of work completion; proposed envisages weekly payments

Mind-map outline

MGNREGA vs proposed bill

- Right
 - Justiciable vs schematic entitlement
- Funding

- Centre 100% vs 60:40 sharing
- Budgeting
 - Labour budget vs fixed allocation
- Operations
 - Continuous vs 60-day pause
- Payments
 - Within 15 days vs weekly

Planning, Oversight and Related Schemes

Gram Panchayats prepare Viksit Gram Panchayat Plans, which are integrated with PM Gati Shakti and aggregated through VB-NRIS for national planning. Panchayats are graded on development indicators, and councils and steering committees oversee implementation. Several other rural schemes address livelihoods, skilling, property cards and traditional artisans.

- Viksit Gram Panchayat Plans (VGPPs) are prepared by Gram Panchayats
- VGPPs are integrated with PM Gati Shakti for infrastructure convergence
- Plans are aggregated through Viksit Bharat National Rural Infrastructure Stack (VB-NRIS)
- Panchayats are graded on development indicators; underperforming ones get higher allocations
- Central and State Gramin Rozgar Guarantee Councils review, monitor and advise
- National and State Steering Committees make recommendations on allocation and convergence
- Digital ecosystem with biometric authentication and AI analytics to reduce leakages
- SVAMITVA gives property cards; PM Vishwakarma supports artisans via skilling, toolkits and credit

Mind-map outline

Planning and oversight

- Village planning
 - Gram Panchayats prepare VGPPs
 - Linked with PM Gati Shakti
 - Aggregated via VB-NRIS
- Oversight
 - Gramin Rozgar Guarantee Councils
 - National and State Steering Committees
- Related schemes
 - DAY-NRLM: self-employment via SHGs
 - DDU-GKY: rural youth skilling
 - SVAMITVA: property cards
 - PM Vishwakarma: artisan support

Polity and Governance

4th National Lok Adalat

Lok Adalat: Concept and Features

A Lok Adalat, whose name means 'People's Court', settles cases pending in court or at the pre-litigation stage through compromise. It is based on Gandhian principles and offers an expeditious, cost-effective alternative to dispute resolution. Lok Adalats have statutory status, and every award they make is final and binding on all parties.

- Lok Adalat means 'People's Court'
- Based on Gandhian principles
- Covers cases pending in court and pre-litigation disputes
- Disputes are compromised or settled in an amicable manner
- First Lok Adalat in India organised in Gujarat in 1982
- Statutory status under the Legal Services Authorities Act, 1987
- Usually a judicial officer as Chairman, with a lawyer and a social worker as Members
- Non-compoundable offences fall outside its purview
- Every award is final and binding on all parties
- Organising authority: National Legal Services Authority

Mind-map outline

Lok Adalat

- Meaning
 - People's Court
 - Gandhian principles
- Scope
 - Pending court cases
 - Pre-litigation disputes
- Composition
 - Judicial officer as Chairman
 - Lawyer and social worker as Members
- Outcome
 - Compromise or settlement
 - Award final and binding
- Organising authority
 - National Legal Services Authority

Types: National and Permanent Lok Adalats

The National Lok Adalat is held at regular intervals across India on a single day, and since 2015 it has been held on a specific matter every month. The Permanent Lok Adalat was created by a 2002 amendment to handle disputes involving public utility services. The Supreme Court has described a Lok Adalat as purely conciliatory.

- National Lok Adalat: held across India on a single day
- Since 2015, held on a specific matter every month
- Permanent Lok Adalat introduced by a 2002 amendment to the 1987 Act
- Handles public utility services such as transportation and telegraph
- Chaired by a District Judge or Additional District Judge, or one who held higher judicial office
- Two other persons with adequate experience in public utility services sit on it
- No jurisdiction over offences not punishable by law
- Its judgments are final and binding on all parties
- State of Punjab vs Jalour Singh (2008): Lok Adalat is purely conciliatory

Mnemonic - Permanent Lok Adalat panel: JEE: Judge, Expert, Expert

J = District Judge or Additional District Judge as chairperson; E = Person with adequate experience in public utility services; E = Second person with adequate experience in public utility services

Mind-map outline

Types of Lok Adalat

- National Lok Adalat
 - Held across India on a single day
 - Specific matter every month since 2015
- Permanent Lok Adalat
 - Created by 2002 amendment
 - Handles public utility services
 - Chaired by District Judge or ADJ
 - Two experienced members
 - No jurisdiction over unpunishable offences
- Legal status
 - Statutory status
 - Purely conciliatory (Supreme Court)

NALSA and Legal Aid Institutions

The Legal Services Authorities Act, 1987 was enacted to build a nationwide network for free and competent legal services, and it came into force on 9 November 1995. The National Legal Services Authority (NALSA) was founded in 1995 under the Act. Legal aid institutions operate at national, state, district, taluka and High Court and Supreme Court levels, and Article 39A provides for free legal aid.

- 1980: a national-level committee named CILAS was set up to supervise legal aid programmes
- Legal Services Authorities Act enacted in 1987

- The Act came into force on 9 November 1995
- Aim: nationwide network for free legal services to weaker sections
- NALSA founded in 1995 under the 1987 Act
- Article 39A provides free legal aid to poor and weaker sections
- Chief Justice of India is Patron-in-Chief of NALSA
- Institution levels: national, state, district, taluka/sub-division, High Court, Supreme Court
- High Court committee headed by the Chief Justice of the State High Court
- Objectives include free legal aid, legal awareness, Lok Adalats and compensation to crime victims

Mnemonic - Legal services institution levels: Nice Students Dance To Hip Songs

N = National level: NALSA; S = State Legal Services Authority; D = District Legal Services Authority; T = Taluka/Sub-division Legal Services Committee; H = High Court Legal Services Committee; S = Supreme Court Legal Services Committee

Mind-map outline

NALSA and legal aid

- Legal Services Authorities Act
 - Enacted in 1987
 - In force from 9 November 1995
- NALSA
 - Founded in 1995
 - CJI is Patron-in-Chief
- Article 39A
 - Free legal aid to weaker sections
- Institution levels
 - National
 - State
 - District
 - Taluka/Sub-division
 - High Court
 - Supreme Court
- Objectives
 - Free legal aid and advice
 - Spread legal awareness
 - Organise Lok Adalats
 - Promote settlement of disputes
 - Compensation to crime victims

e-Courts Project and Digital Tools

The e-Courts Project brings Information and Communication Technology into Indian courts, with Phase I running in 2007-2015 and Phase III from 2023 onwards. The National Judicial Data Grid is an online database of orders, judgments and case details created under Phase II. SUVAS, FASTER and SUPACE help with translation, secure transmission of orders and access to laws for judges.

- e-Courts Project: ICT enablement of courts
- Phase I implemented during 2007-2015
- Phase II started in 2015
- Phase III spans four years, from 2023 onwards
- Funded by the Department of Justice, Ministry of Law and Justice
- National Judicial Data Grid: database of orders, judgments and case details, developed by the National Informatics Centre
- SUVAS: Supreme Court Vidhik Anuvaad Software, an AI-trained translation tool
- FASTER: Fast and Secured Transmission of Electronic Records
- SUPACE: Supreme Court Portal for Assistance in Court's Efficiency
- Swapnil Tripathi v Supreme Court of India (2018): live streaming is part of the Article 21 right to access justice
- Gujarat High Court is the first court to live stream judicial proceedings on its YouTube channel

Mind-map outline

e-Courts and digital tools

- e-Courts Project

- Phase I: 2007-2015
- Phase II: started 2015
- Phase III: 2023 onwards
- Funded by Department of Justice
- NJDG
 - Database of orders and case details
 - Developed by NIC
- SUVAS
 - AI-trained translation tool
 - Regional languages in proceedings
- FASTER
 - Secure transmission of electronic records
- SUPACE
 - Collects facts and laws for judges
- Live streaming
 - Swapnil Tripathi case (2018)
 - Gujarat High Court first to live stream

Assam Prohibition of Polygamy Bill 2025

Key features of the Assam Bill

The Assam Assembly passed the Prohibition of Polygamy Bill 2025 to eliminate polygamous practices, with strict penalties. It applies to Assam residents and to certain people in polygamous marriages outside the state, while excluding Scheduled Tribes and Sixth Schedule areas. It holds village heads, qazis, parents and legal guardians accountable and creates a State Victim Relief Fund.

- Assam Assembly passed the Prohibition of Polygamy Bill 2025.
- Objective: eliminate polygamous practices, with strict penalties.
- Applies to residents of Assam.
- Also covers individuals in polygamous marriages outside Assam or availing Assam's welfare schemes.
- Excludes Scheduled Tribes under Article 342 and Sixth Schedule areas of Assam.
- Grandfather Clause validates pre-law marriages compliant with personal or customary laws.
- Village heads, qazis, parents and legal guardians are held accountable for polygamous marriages.
- State Victim Relief Fund compensates women affected by polygamous marriages.
- Convicted individuals are barred from government jobs, benefits, schemes and electoral participation.
- Imprisonment of up to 10 years for entering a second marriage while the first is still legally valid.

Mnemonic - Bars on convicted individuals: Just Be Strictly Excluded (JBSE)

J = Government jobs; B = Benefits; S = Schemes; E = Electoral participation

Mind-map outline

Key features of the Bill

- Scope
 - Residents of Assam
 - Polygamous marriages outside Assam
 - Users of Assam welfare schemes
- Exclusions
 - Scheduled Tribes under Article 342
 - Sixth Schedule areas of Assam
- Grandfather Clause
 - Validates pre-law marriages
 - Must comply with personal or customary laws
- Penalties and bars
 - Up to 10 years for second marriage
 - Convicts barred from jobs and elections
- Relief
 - State Victim Relief Fund

Polygamy: meaning, types and status

Polygamy is a marital system in which one person has more than one spouse at the same time. Polygyny means one man with several wives, and polyandry means one woman with several husbands. NFHS-5 (2019-21) puts the national rate at 1.4 per cent, with Meghalaya highest at 6.1 per cent and Assam at 2.4 per cent.

- Polygamy: a marital system with more than one spouse at the same time.
- Polygyny: one man has multiple wives.
- Polyandry: one woman has multiple husbands.
- National polygamy rate in India is 1.4 per cent (NFHS-5, 2019-21).
- National rates by religion: Hindus 1.3%, Muslims 1.9%, Christians 2.1%, Sikhs 0.5%, Others 2.5%.
- Meghalaya has the highest rate in India at 6.1 per cent.
- Assam's rate is 2.4 per cent: Hindus 1.8%, Muslims 3.6%.
- NFHS-5 measures the share of currently married women (age 15 to 49) whose husband has other wives besides themselves.

Mind-map outline

Polygamy in India

- Meaning
 - More than one spouse at same time
- Types
 - Polygyny: one man, many wives
 - Polyandry: one woman, many husbands
- National data (NFHS-5)
 - National average 1.4%
 - Meghalaya highest at 6.1%
 - Assam at 2.4%
- Religion-wise rates
 - Hindus 1.3%, Muslims 1.9%
 - Christians 2.1%, Sikhs 0.5%, Others 2.5%

Personal laws and marriage legislation

Marriage law in India varies across personal laws. The Hindu Marriage Act, 1955 prohibits bigamy for Hindus, while the Muslim Personal Law (Shariat) Application Act, 1937 permits polygamy. The Special Marriage Act, 1954 allows inter-religious marriages but explicitly prohibits polygamy, and the Bharatiya Nyaya Sanhita 2023 makes marrying again during a spouse's lifetime an offence.

- Hindu Marriage Act, 1955: bigamy is prohibited for Hindus.
- Contracting a second marriage while the first subsists is a punishable offence under the Hindu Marriage Act.
- Muslim Personal Law (Shariat) Application Act, 1937: polygamy is permitted.
- Marriages under the Shariat Act that violate Fundamental Rights can be legally challenged.
- Special Marriage Act, 1954: allows inter-religious marriages while explicitly prohibiting polygamy.
- Bharatiya Nyaya Sanhita 2023, Section 82: offence of marrying again during the lifetime of a spouse.
- Punishment under Section 82 of the BNS: up to 7 years' imprisonment along with a fine.

Mind-map outline

Personal laws and marriage

- Hindu Marriage Act, 1955
 - Bigamy prohibited for Hindus
- Shariat Act, 1937
 - Polygamy permitted
 - Rights-violating marriages challengeable
- Special Marriage Act, 1954
 - Allows inter-religious marriage
 - Explicitly prohibits polygamy
- BNS 2023, Section 82
 - Marrying again during spouse's lifetime
 - Up to 7 years and fine

Uniform Civil Code and judicial background

A Uniform Civil Code (UCC) would give all citizens one common set of personal laws, irrespective of religion. Article 44 places the duty to implement it on the state, though the Directive Principles are not enforceable. The 2018 Law Commission report judged a UCC neither necessary nor desirable at this stage, while the Supreme Court has repeatedly called for uniformity in personal laws.

- UCC: a common set of personal laws for all citizens irrespective of religious affiliation.
- Article 44 of the Directive Principles sets out the duty of the state to implement a UCC.
- Directive Principles are not enforceable.
- Personal laws were placed in the Concurrent List, allowing both Parliament and State Assemblies to legislate.
- The framers of the Constitution did not intend total uniformity in personal laws.
- Law Commission (2018): reform and codify family laws across religions; a UCC is neither necessary nor desirable at this stage.
- Shah Bano case (Mohd Ahmed Khan vs Shah Bano Begum, 1985): highlighted the need for uniformity in personal laws.
- Sarla Mudgal vs Union of India (1995): highlighted the need for reforms in personal laws.
- Shayara Bano vs Union of India (2017): held talaq-e-biddat (triple talaq) unconstitutional.
- Supreme Court hailed Goa as a 'shining example' of a functioning UCC.

Mnemonic - Judgements in order: Shah Sees 85, Sarla Shifts 95, Shayara Stops 17

85 = Shah Bano case (1985): need for uniformity in personal laws; 95 = Sarla Mudgal case (1995): need for reforms in personal laws; 17 = Shayara Bano case (2017): talaq-e-biddat held unconstitutional

Mind-map outline

UCC and judicial background

- Constitution
 - Article 44: state duty to implement UCC
 - Personal laws in Concurrent List
 - Directive Principles not enforceable
- Law Commission (2018)
 - Reform and codify family laws
 - UCC not desirable at this stage
- Supreme Court cases
 - Shah Bano (1985): need for uniformity
 - Sarla Mudgal (1995): need for reforms
 - Shayara Bano (2017): triple talaq unconstitutional
- Goa
 - Shining example of functioning UCC

Economy

Indian Rupee Breaches 90 per US Dollar in 2025

The 90 per Dollar Breach

In 2025 the Indian rupee crossed 90 per US dollar after depreciating over 5% during the year, even though India had strong 8.2% GDP growth and low inflation. The 90 level carries psychological weight, since crossing it can activate buy-stop orders and intensify downward momentum. The booklet says the breach reflects cumulative pressures built over time rather than a single event.

- Rupee depreciated over 5% in 2025, crossing 90 per USD
- India had strong 8.2% GDP growth and low inflation at the time
- The 90 per USD level is psychologically important for traders
- Crossing 90 can activate buy-stop orders
- Buy-stop orders can intensify downward momentum
- The breach reflects cumulative pressures, not a single disruptive event
- Policymakers and investors watch global conditions, trade and domestic indicators

Mind-map outline

Rupee breach at 90 per USD

- Depreciation over 5% in 2025
- Strong 8.2% GDP and low inflation
- 90 level: psychological importance
 - Can activate buy-stop orders
 - Can intensify downward momentum
- Cumulative pressures, not one event

Depreciation vs Devaluation

Rupee depreciation means the currency's value falls against foreign currencies, driven by market forces, capital flows, external shocks or policy uncertainty. Devaluation is different: the government or RBI deliberately reduces the currency's value, and it happens under fixed or pegged exchange rates. Depreciation happens under floating or managed-floating systems.

- Depreciation: the currency's value falls relative to foreign currencies
- Causes of depreciation: market forces, capital flows, external shocks, policy uncertainty
- Devaluation: government or RBI deliberately reduces the currency's value
- Devaluation happens under fixed or pegged exchange rate systems
- Depreciation happens under floating or managed-floating systems
- Devaluation is a policy tool to boost exports and reduce deficit
- Depreciation is driven by FPI outflows, inflation, CAD and global shocks

Mind-map outline

Currency value falls

- Depreciation
 - Value falls against foreign currencies
 - Market forces, capital flows, shocks
 - Floating or managed-floating systems
- Devaluation
 - Deliberate cut by government or RBI
 - Fixed or pegged exchange rates
 - Boosts exports, reduces deficit

Causes of Rupee Weakness in 2025

Analysts linked the rupee's weakness to a strong US dollar, uncertainty over the India-US trade deal and steep US tariffs on Indian exports. Foreign portfolio investors withdrew funds, while a wider trade deficit and speculative dollar demand added pressure in the forex market.

- Strong US dollar and delays in the initial tranche of the India-US trade deal
- US tariffs of up to 50% reduced the competitiveness of Indian exports
- Lower investor confidence reduced inflows
- FPIs withdrew funds aggressively, causing capital outflows
- Global uncertainty shifted capital to US Treasuries and USD as safe haven
- Imports of gold, electronics, crude and machinery widened the trade deficit
- Higher crude oil prices worsened the import bill
- Importers front-loaded purchases, anticipating further rupee weakness

Mnemonic - Causes of rupee weakness: Tall Trees Fall In Summer

Tall = Trade deal delays in the initial tranche of the India-US deal; Trees = Steep US tariffs of up to 50% on Indian exports; Fall = FPIs withdrew funds aggressively; In = Imports of gold, electronics, crude and machinery widened the trade deficit; Summer = Speculative dollar demand from importers front-loading purchases

Mind-map outline

Causes of rupee weakness

- Trade deal and tariffs
 - Delayed initial tranche of trade deal
 - US tariffs up to 50%
- Capital outflows
 - FPIs withdrew funds
 - Shift to US Treasuries and USD
- Lower investor confidence

- Trade and demand
 - Wider trade deficit
 - Higher crude oil prices
 - Speculative dollar demand

Impacts of Rupee Depreciation

A weaker rupee makes Indian goods cheaper abroad, raises the value of remittances and can encourage domestic manufacturing. The booklet also lists costs: dollar-denominated debt becomes dearer, deficits widen, imported inflation rises, subsidy bills grow and consumer purchasing power falls. It also notes a capital flight risk when investor confidence weakens.

- Boost to exports: Indian goods become cheaper globally
- Higher remittance value: NRIs get a more favourable exchange rate
- Push to domestic manufacturing as expensive imports encourage local production
- Costlier external debt for companies with dollar-denominated loans
- Wider current account and trade deficits as imports become costlier
- Higher subsidy burden as fertiliser imports become costlier
- Imported inflation: crude, fertilisers and electronics become costlier
- Capital flight risk as a weak rupee reduces investor confidence
- Lower consumer purchasing power due to costlier essential imports

Mind-map outline

Impacts of rupee depreciation

- Positive
 - Cheaper Indian exports
 - Higher remittance value
 - Push to domestic manufacturing
- Negative
 - Costlier dollar-denominated debt
 - Wider CAD and trade deficit
 - Higher subsidy burden
 - Imported inflation
 - Capital flight risk
 - Lower consumer purchasing power

Measures to Stabilise the Rupee

The booklet lists measures to stabilise the rupee, beginning with rupee-based trade settlement through Special Vostro Rupee Accounts. Other steps include offshore rupee trading, currency swaps, strong forex reserves with calibrated RBI intervention, and wider UPI internationalisation. It also proposes reducing gold imports through gold monetisation and digital gold.

- Increase Special Vostro Rupee Accounts for rupee-based trade settlement
- Promote local currency settlement agreements with Asia, Africa and the Gulf
- Promote offshore rupee trading
- Push for inclusion of Indian G-Secs in global bond indices
- Expand currency swap agreements and maintain strong forex reserves
- Calibrated RBI intervention, including selling or buying USD
- Expand UPI internationalisation and work towards INR eligibility for the IMF SDR basket
- Reduce gold imports via gold monetisation and digital gold

Mnemonic - Stabilisation measures: Very Silly Rabbits Use Gold

Very = Special Vostro Rupee Accounts for rupee-based trade settlement; Silly = Expand currency swap agreements; Rabbits = Maintain strong forex reserves with calibrated RBI intervention; Use = Expand UPI internationalisation to boost global acceptance of INR; Gold = Reduce gold imports through gold monetisation and digital gold

Mind-map outline

Measures to stabilise the rupee

- Trade and settlement
 - Special Vostro Rupee Accounts
 - Local currency settlement agreements

- Market depth
 - Offshore rupee trading
 - G-Secs in global bond indices
- External sector
 - Currency swap agreements
 - Strong forex reserves
 - Calibrated RBI intervention
- Global acceptance
 - UPI internationalisation
 - IMF SDR basket eligibility
- Domestic reforms
 - Control inflation, attract FDI
 - Reduce gold imports

RBI Cuts Repo Rate to 5.25%: The Goldilocks Phase

Dec 2025 Repo Rate Cut and Goldilocks Phase

In December 2025 the RBI cut the repo rate by 25 basis points to 5.25%, its fourth reduction in 2025. The RBI said the cut aims to sustain a Goldilocks phase of strong growth and low inflation. Inflation had fallen below the lower tolerance band, giving the central bank room to ease while growth stayed robust.

- RBI cut the repo rate by 25 basis points to 5.25% in December 2025.
- The December 2025 cut was the 4th reduction by RBI in 2025.
- Total reduction by RBI in 2025 was 125 basis points.
- Goldilocks phase means not too hot (high inflation) and not too cold (low growth).
- Goldilocks phase enables balanced and sustainable expansion.
- GDP growth was 8.2% in Q2 FY2025-26.
- Inflation was 1.7% in Q2 and dipped to 0.3% in October 2025.
- Inflation fell below the 2% lower tolerance band of the RBI framework.
- Reasons for cut: sustained disinflation, strong growth momentum, external risks.

Mind-map outline

Dec 2025 Repo Cut

- Key numbers
 - 5.25% new repo rate
 - 25 basis points cut
 - 125 basis points in 2025
- Goldilocks conditions
 - GDP growth 8.2%
 - Inflation 1.7% in Q2
 - Inflation 0.3% in Oct 2025
- Reasons
 - Disinflation
 - Growth momentum
 - External risks

Repo Rate Transmission and Other Instruments

The repo rate is the rate at which RBI lends to commercial banks, and it moves borrowing costs across the economy. RBI raises it to curb spending when inflation is high and lowers it to pump money in during a liquidity crunch. Other tools include the reverse repo rate, Bank Rate, MSF, CRR, SLR and open market operations.

- Repo stands for 'Repurchasing Option' or 'Repurchase Agreement'.
- Repo rate is the rate at which RBI lends money to commercial banks.
- Reverse repo rate is the rate at which RBI borrows money from commercial banks.
- In high inflation, RBI increases the repo rate to reduce the flow of money.
- A higher repo rate makes loans costlier for banks and borrowing costly for businesses.
- In a short-term liquidity crunch, RBI lowers the repo rate to pump funds into the economy.

- Bank Rate is a long-term rate at which the central bank lends to other banks.
- MSF is a window for banks to borrow overnight funds at a higher rate than the repo rate.
- CRR is the proportion of deposits banks must hold as cash with RBI.
- SLR is the minimum share of deposits banks must hold as liquid cash, gold or other securities.
- Open market operations: purchase or sale of government securities to inject or absorb liquidity.

Mnemonic - Repo and Liquidity Tools: Rich Rebels Break Many Cages

Rich = Repo rate: rate at which RBI lends money to commercial banks; Rebels = Reverse repo rate: rate at which RBI borrows money from commercial banks; Break = Bank Rate: long-term rate at which central bank lends to other banks; Many = MSF: window for overnight borrowing at a higher rate than repo; Cages = CRR: share of deposits banks hold as cash with RBI

Mind-map outline

Repo Rate and Other Tools

- Repo rate
 - Lending to commercial banks
 - Repurchasing Option / Agreement
- Reverse repo rate
 - Borrowing from commercial banks
- Liquidity tools
 - Bank Rate: long-term lending
 - MSF: overnight window above repo
 - OMO: govt securities buy or sell
- Reserve norms
 - CRR: cash with RBI
 - SLR: liquid cash, gold, securities

Monetary Policy Committee and Inflation Targeting

The MPC is a statutory body that sets the benchmark policy rate needed to contain inflation within the target range. It has six members, the RBI Governor chairs it ex officio, and decisions are taken by majority vote with the Governor holding a casting vote in a tie. India's flexible inflation targeting uses a 4% target with a 2% tolerance band, formalised by the Urjit Patel Committee (2014).

- The MPC is a statutory body under the RBI Act, 1934.
- The Central Government is empowered to constitute a six-member MPC.
- MPC members: RBI Governor, Deputy Governor in charge of monetary policy, one RBI officer nominated by the central board, and three members appointed by the Central Government.
- The RBI Governor is the ex-officio chairperson of the MPC.
- The MPC must meet at least four times a year.
- Quorum is four members, including the RBI Governor or, in his absence, the Deputy Governor.
- Decisions are by majority vote; the Governor has a casting vote in a tie.
- MPC decisions are binding on banks.
- Inflation target is 4% with a 2% band (2% to 6%).
- India adopted flexible inflation targeting in 2016.
- Urjit Patel Committee (2014) formalised inflation targeting; the target was first proposed by the Chakravarty Committee (1982-85).
- The inflation target is set by the government in consultation with RBI every 5 years.
- RBI releases a Monetary Policy Report every six months, forecasting inflation 6-18 months ahead.

Mnemonic - MPC Composition and Quorum: Six Members, Four Meetings, Four for Quorum

Six = MPC has six members; Four (meetings) = MPC meets at least four times a year; Four (quorum) = Quorum is four members

Mind-map outline

MPC and Inflation Targeting

- Composition
 - Six members
 - RBI Governor chairs ex officio
 - Three appointed by government
- Quorum and voting
 - Quorum: four members
 - Majority vote

- Governor casting vote
- Inflation target
 - 4% target
 - 2% band (2% to 6%)
- Flexible targeting since 2016

Inflation Measures: CPI, WPI and GDP Deflator

Inflation is an increase in the overall prices of goods and services in an economy over time, and it is tracked through several indices. CPI measures retail inflation and covers both goods and services, while WPI covers only goods and reflects wholesale prices. The GDP deflator compares annual production value at current prices with a base year.

- Inflation is an increase in the overall prices of goods and services in an economy over time.
- CPI measures inflation in the retail market.
- CPI has a base year of 2012.
- CPI is released by the National Statistical Office (NSO).
- CPI includes both goods and services.
- CPI reflects up-to-date expenditure patterns.
- WPI includes only goods and does not consider the services sector.
- WPI is released by the Office of Economic Advisor, Ministry of Commerce and Industry.
- GDP deflator compares annual production value at current prices to a base year.

Mind-map outline

Inflation Measures

- CPI
 - Retail prices
 - Goods and services
 - Base year 2012
 - Released by NSO
- WPI
 - Wholesale prices
 - Goods only
 - Office of Economic Advisor
- GDP deflator
 - Current vs base year prices
 - Annual production value

RBI: Origins and Core Functions

The RBI is the central bank responsible for managing India's financial system. It was established on April 1 in Calcutta, was later nationalised from private stakeholders, and performs supervisory, monetary, currency and banking roles. Its concept was inspired by Dr. Ambedkar's strategies in his book on the rupee.

- RBI is the central bank responsible for managing the country's financial system.
- RBI's concept was inspired by Dr. Ambedkar's strategies in his book 'The Problem of the Rupee'.
- RBI was established on April 1 in Calcutta.
- RBI was nationalised; it was previously owned by private stakeholders.
- Supervisory function: issue bank licences, open branches, set minimum reserves and inspect commercial banks.
- Monetary authority: maintain price stability while promoting economic growth.
- Issuer of currency: exchanges and destroys currency notes.
- Manager of foreign exchange and custodian of India's forex reserves.
- Lender of last resort and banker to the government and to other banks.
- Custodian of the cash reserves of commercial banks.
- Regulates the forex market through exchange rules.

Mind-map outline

RBI Core Functions

- Regulator
 - Issues bank licences

- Inspects commercial banks
- Sets minimum reserves
- Monetary authority
 - Price stability
 - Economic growth
- Banker
 - Banker to government
 - Banker to other banks
 - Lender of last resort
- Reserves and currency
 - Forex reserves custodian
 - Cash reserves custodian
 - Issuer of currency notes

Summits, Reports & Indices

23rd India-Russia Annual Summit

Economic, Energy and Payments Cooperation

The 23rd annual summit adopted Programme 2030 to diversify India-Russia ties beyond defence and energy. The programme sets a trade target of \$100 billion by 2030, against \$68.7 billion recorded in 2024-25. Cooperation also covers national-currency settlements, payment-system interoperability and continued support for nuclear energy projects.

- Programme 2030 adopted to diversify ties beyond defence and energy.
- Coordinated by the India-Russia Inter-Governmental Commission on Trade, Economic, Scientific, Technical and Cultural Cooperation (IRIGC-TEC).
- IRIGC-TEC is chaired by India's External Affairs Minister and Russia's Deputy Prime Minister.
- Trade target: \$100 billion by 2030.
- Trade stood at \$68.7 billion in 2024-25.
- Settlements in national currencies to be boosted.
- Work on interoperability of payment systems and CBDCs to bypass Western financial systems (SWIFT).
- Negotiations on an FTA with the Eurasian Economic Union to be fast-tracked.
- Continued support for Kudankulam Nuclear Power Plant, Small Modular Reactors and future civil nuclear projects.

Mind-map outline

Economic, Energy and Payments

- Programme 2030
 - Diversify beyond defence and energy
 - Coordinated by IRIGC-TEC
- Trade
 - Target \$100 billion by 2030
 - \$68.7 billion in 2024-25
- Payments
 - National-currency settlements
 - Payment interoperability and CBDCs
 - Bypass SWIFT
- Energy
 - Kudankulam support
 - SMRs and future civil nuclear

Defence and Strategic Cooperation

India and Russia focus on joint R&D, co-production under Make in India, military technology transfer and regular exercises. The RELOS agreement provides mutual logistics support for troops, warships and aircraft during operations away from home bases. The 2+2 Ministerial Dialogue aligns foreign and defence ministers on strategic priorities.

- RELOS: Reciprocal Exchange of Logistics Agreement, enabling mutual logistics support for troops, warships and aircraft.
- RELOS scope: access to each other's military facilities, ports and airspace.
- RELOS includes simplified refuelling and maintenance support for deployments.
- Russia was India's main supplier of defence equipment (36%).
- India-Russia 2+2 Ministerial Dialogue aligns Foreign and Defence Ministers.
- Joint exercise: INDRA.
- BrahMos: cruise missile jointly developed by DRDO and NPO Mashinostroyeniya (NPOM).
- S-400 Triumph: long-range surface-to-air missile system procured by India.
- Su-30MKI multi-role fighters produced in India by Hindustan Aeronautics Limited (HAL).

Mind-map outline

Defence and Strategic Cooperation

- RELOS
 - Mutual logistics for troops, warships, aircraft
 - Access to bases, ports, airspace
- Weapon systems
 - BrahMos (DRDO and NPOM)
 - S-400 Triumph procurement
 - Su-30MKI production by HAL
- Defence supply and dialogue
 - Russia main supplier (36%)
 - 2+2 Ministerial Dialogue
- Cooperation modes
 - Joint exercise INDRA
 - Joint R&D and co-production

Connectivity and Logistics Corridors

The proposed Chennai-Vladivostok Maritime Corridor aims to cut transport time to Russia by 40 per cent and saves 3,028 nautical miles over the existing route. The International North-South Transport Corridor (INSTC) is a multi-modal route set up in 2000 by Iran, Russia and India. India-Russia Far East and Arctic cooperation is guided by a 2024-2029 programme.

- Chennai-Vladivostok Maritime Corridor is a proposed sea route passing through the Sea of Japan, South China Sea and Malacca Strait.
- Aim: reduce transportation time to Russia by 40%.
- Time saving: up to 16 days.
- Distance saving: 3,028 nautical miles.
- INSTC: multi-modal transportation route established in 2000 in St Petersburg by Iran, Russia and India.
- INSTC aim: promote transportation cooperation among member states.
- India-Russia Far East Cooperation Programme covers 2024-2029.
- Key Far East and Arctic areas: agriculture and mining, manpower and pharmaceuticals, diamonds and shipping.
- India is an Observer in the Arctic Council.

Mnemonic - Seas on the Chennai-Vladivostok route: Just Sail Monsoon

Just = J: Sea of Japan; Sail = S: South China Sea; Monsoon = M: Malacca Strait

Mind-map outline

Connectivity and Logistics Corridors

- Chennai-Vladivostok corridor
 - Sea of Japan, South China Sea, Malacca Strait
 - Saves up to 16 days
 - Saves 3,028 nautical miles

- INSTC
 - Established 2000, St Petersburg
 - Members: Iran, Russia, India
- Far East and Arctic
 - Far East Programme 2024-2029
 - India is Arctic Council observer

Diplomacy, Counter-Terrorism and Honours

India and Russia signed a Treaty of Peace and Friendship in 1971 and a new Treaty of Friendship and Cooperation in 1993 after the Soviet Union dissolved. Both sides denounced the 2025 Pahalgam and 2024 Crocus City Hall attacks and called for strict action against UN-listed terrorist organisations. PM Modi was conferred Russia's Highest National Award, the Order of St Andrew the Apostle.

- Treaty of Peace and Friendship signed in 1971.
- New Treaty of Friendship and Cooperation signed in 1993, after the dissolution of the Soviet Union.
- PM Modi was conferred Russia's Highest National Award, the Order of St. Andrew the Apostle.
- Order of St Andrew established by Tsar Peter the Great in 1698, reinstated in 1998 and abolished in 1918.
- Ganga-Volga Dialogue: platform to enhance Special and Privileged Strategic Partnership; organised by the Ministry of External Affairs with Dr Syama Prasad Mookerjee Research Foundation.
- Counter-terrorism: Pahalgam attack (2025) and Crocus City Hall attack (2024) denounced.
- Both parties called for a Zero-Tolerance Policy and finalisation of the Comprehensive Convention on International Terrorism.
- Russia formally joined the International Big Cat Alliance.
- Russia reiterated support for India's permanent membership of a reformed and expanded UN Security Council.

Mind-map outline

Diplomacy, Counter-Terrorism and Honours

- Treaties
 - 1971 Treaty of Peace and Friendship
 - 1993 Treaty of Friendship and Cooperation
- Counter-terrorism
 - Pahalgam (2025) denounced
 - Crocus City Hall (2024) denounced
 - Zero-Tolerance Policy
- Order of St Andrew
 - Set up by Peter the Great, 1698
 - Reinstated 1998, abolished 1918
- Forums
 - Ganga-Volga Dialogue
 - Theme 2020: Connectivity

Miscellaneous

Miscellaneous

International Relations and Trade

This group covers the Durand Line, the 2,600 km boundary between Pakistan and Afghanistan that was fixed by a British-era agreement and has been contested since Partition. It also covers India's trade agreements with New Zealand and Oman expand trade and investment, with zero-duty access stated only for New Zealand. The section closes with the US National Security Strategy, the Preah Vihear temple dispute, and India's re-election to the IMO Council.

- The Durand Line is a 2,600 km international boundary between Pakistan and Afghanistan.
- It was drawn through the Durand Agreement of 1893 between Sir Henry Mortimer Durand and Emir Abdur Rahman Khan.
- Afghanistan refused to formally recognise the Durand Line, viewing it as a colonial imposition.

- Treaty of Gandamak (1879) granted Britain control over Afghanistan's foreign affairs.
- Treaty of Rawalpindi (1919) restored Afghanistan's foreign policy autonomy while reaffirming the Durand Line.
- India-New Zealand FTA gives 100% of Indian exports to New Zealand zero-duty market access.
- India-Oman CEPA is India's second CEPA in the GCC after the UAE and aims to expand trade beyond USD 10 billion.
- US National Security Strategy reasserts the Monroe Doctrine (1823) and avoids branding Russia and China as existential threats.
- ICJ (1962) gave sovereignty over Preah Vihear Temple to Cambodia; the 2013 ICJ clarification called for a demilitarised zone that was never fully implemented.
- India was re-elected to the IMO Council's Category B for 2026-27 with the highest votes.

Mnemonic - Anglo-Afghan and Durand Line sequence: Fail Gain Draw Restore

Fail = 1839-42: British intervention in Afghanistan failed; Gain = Treaty of Gandamak (1879) gave Britain control over Afghanistan's foreign affairs; Draw = Durand Agreement (1893) drew the Durand Line; Restore = Treaty of Rawalpindi (1919) restored Afghanistan's foreign policy autonomy

Mind-map outline

International Relations and Trade

- Durand Line
 - Pakistan-Afghanistan boundary, 2,600 km
 - Afghanistan refuses formal recognition
- Anglo-Afghan settlements
 - 1879 Gandamak: British control of foreign affairs
 - 1919 Rawalpindi: foreign policy autonomy restored
- Trade deals
 - NZ FTA: zero duty on Indian exports
 - Oman CEPA: trade beyond USD 10 billion
- Other items
 - US NSS: Monroe Doctrine reasserted
 - Preah Vihear: ICJ 1962 favoured Cambodia
 - IMO Council: India re-elected, Category B

Rights, Governance and Society

This group covers the Karbi Anglong unrest, where protests over land and resource rights under the Sixth Schedule have caused civilian deaths and internet shutdowns. It also covers the proposed Right to Disconnect, the Supreme Court's ruling on workplace harassment complaints under the PoSH framework, and Assam's proposal to grant ST status to six communities. The section ends with the Universal Declaration of Human Rights and Human Rights Day.

- Karbi Anglong unrest began with a hunger strike by indigenous tribal groups.
- Protesters demanded eviction of long-settled non-tribal communities from protected grazing and tribal lands.
- Karbi Anglong is administered by the Karbi Anglong Autonomous Council under the Sixth Schedule.
- The Karbi Anglong Peace Accord 2021 was a tripartite agreement involving the Government of India, Assam and Karbi insurgent groups.
- The Right to Disconnect would give employees a statutory right to refuse work calls, emails or messages beyond work hours and on holidays.
- France's El Khomri Law (2017) was the first national law recognising the right to disconnect.
- The Supreme Court (Sohail Malik case) held that women can approach the ICC at their own workplace over harassment by outsiders.
- An Internal Complaints Committee is mandatory in every workplace employing 10 or more persons; a Local Committee applies where none exists.
- Assam's Group of Ministers recommended ST status for 6 communities; ST (Plains) has 10% reservation and ST (Hills) has 5%.
- The UDHR (1948) is not a legally binding treaty but forms the International Bill of Human Rights; Human Rights Day is observed on 10 December.

Mind-map outline

Rights, Governance and Society

- Karbi Anglong unrest

- Sixth Schedule land and resource rights
- Demand to evict non-tribal settlers
- Workplace rights
 - Right to Disconnect: Private Members' Bill
 - France 2017: first national law
- Harassment law
 - ICC mandatory at 10 or more employees
 - Local Committee where no ICC exists
- Assam ST proposal
 - 6 communities recommended for ST
 - ST Plains 10%, ST Hills 5%
- Human rights
 - UDHR 1948: not a binding treaty
 - Human Rights Day: 10 December

Economy, Finance and Insurance

The RBI's National Strategy for Financial Inclusion 2025-30 sets out five pillars for widening access to financial services over the next five years. The section also explains masala bonds, which let Indian entities raise rupee-denominated debt overseas, and how taxes, cesses and surcharges differ in their use and sharing with states. Recent bills on a health-security cess and on insurance FDI complete the section.

- The National Strategy for Financial Inclusion 2025-30 was released by the RBI after approval by a Sub-Committee of the Financial Stability and Development Council.
- The strategy defines 5 key pillars to guide India's financial inclusion roadmap for the next five years.
- The pillars cover equitable access, gender-sensitive inclusion, linking livelihoods and skills, financial education, and customer protection.
- The Pradhan Mantri Jan Dhan Yojana (2014) enabled the opening of over 56 crore bank accounts.
- Masala bonds are rupee-denominated debt issued in overseas markets; the IFC introduced them in 2014 on the London Stock Exchange.
- The RBI governs masala bonds.
- A cess is used only for its earmarked purpose, while a surcharge adds to Union revenue with no specific purpose.
- Taxes are shared with states through the Divisible Pool.
- The Health Security and National Security Cess Bill 2025 introduces a capacity-based excise cess; initial coverage includes Pan Masala.
- The Sabka Bima Sabki Raksha (Amendment of Insurance Laws) Bill 2025 raises the FDI limit in Indian insurance companies from 74% to 100%.

Mnemonic - NSFI five pillars: A Good Life Feels Calm

A = Access to equitable and affordable financial services; G = Gender-sensitive and vulnerability-based inclusion; L = Linking livelihoods, skills and financial inclusion; F = Financial education for behavioural change; C = Customer protection and grievance redressal

Mnemonic - Tax, cess and surcharge: Tax Shares, Cess Earmarks, Surcharge Stays

Tax = General levy, shared with states through the Divisible Pool; Cess = Used only for its earmarked purpose; Surcharge = Adds to Union revenue and is not shared with states

Mind-map outline

Economy, Finance and Insurance

- Financial inclusion
 - NSFI 2025-30 approved by Sub-Committee
 - Five key pillars
 - PMJDY: over 56 crore accounts
- Masala bonds
 - Rupee debt sold overseas
 - Introduced by IFC in 2014
 - Governed by RBI
- Taxes and cesses
 - Tax: shared via Divisible Pool

- Cess: earmarked for a purpose
- Surcharge: not shared with states
- Insurance and cess bills
 - Insurance FDI limit 74% to 100%
 - Health Security Cess: Pan Masala

Environment, Energy and Disaster

India's updated seismic zonation map under the BIS 2025 Earthquake Design Code places the entire Himalayan arc in the new highest-risk Zone VI. The section also covers the SHANTI Bill 2025 for nuclear energy, CITES CoP20 and its appendix system, and UNEA-7, where India's wildfire resolution was adopted. The International Big Cat Alliance rounds out the wildlife items.

- The new Zone VI is the highest-risk zone and covers the entire Himalayan arc for the first time.
- Towns located on boundaries between zones now automatically fall into the higher-risk zone.
- 75% of India's population lives in seismically active regions.
- The National Center for Seismology operates the National Seismological Network and monitors earthquakes in real time.
- The SHANTI Bill 2025 would replace the Atomic Energy Act 1962 and the Civil Liability for Nuclear Damage Act 2010.
- CITES was signed on 3 March 1973 and came into force on 1 July 1975; CoP20 was held in Samarkand, Uzbekistan.
- CITES Appendix I lists species threatened with extinction, where commercial trade is prohibited; Appendix II allows controlled trade.
- UNEA-7 was held in Nairobi in 2025, and India's resolution on strengthening global wildfire management was adopted there.
- Over 36% of India's forests are prone to frequent fires, according to the India State of Forest Report 2021.
- The International Big Cat Alliance was launched in 2023 to celebrate 50 years of Project Tiger and aims to conserve 7 big cat species.

Mind-map outline

Environment, Energy and Disaster

- Earthquake zonation
 - Zone VI covers entire Himalayan arc
 - Boundary towns move to higher risk
 - 75% population in active regions
- Nuclear energy
 - SHANTI Bill 2025
 - Replaces Atomic Energy Act 1962
 - Tiered nuclear liability structure
- Wildlife and trade
 - CITES CoP20 in Samarkand
 - Appendix I: commercial trade prohibited
 - IBCA: 7 big cat species
- UNEA-7 and wildfire
 - UNEA-7 held in Nairobi
 - India's wildfire resolution adopted
 - Over 36% of forests fire-prone

History, Heritage and Health

This group traces Vande Mataram from its 1875 composition and the 1937 limit to two stanzas to its 1950 status as national song. It also covers Deepavali's 2025 UNESCO listing, the Goa Liberation Day commemoration, and the 25 December birth anniversaries of Vajpayee and Malaviya. The health item tracks India's HIV/AIDS response through NACP V and the 2024 figures.

- Vande Mataram was written in 1875 by Bankim Chandra Chattopadhyay and was published in the 1882 novel Anandamath.
- A 1937 Congress Working Committee decision limited national use of Vande Mataram to its first two stanzas.

- On 24 January 1950, Dr Rajendra Prasad declared Vande Mataram the national song, to be honoured equally with the national anthem.
- Unlike the national anthem, Vande Mataram is not enforceable under the Prevention of Insults to National Honour Act 1971.
- Deepavali was added to UNESCO's Intangible Cultural Heritage list in 2025; India's total entries now stand at 16.
- Goa Liberation Day on 19 December commemorates Operation Vijay (1961), which ended 451 years of Portuguese rule.
- Goa attained full statehood on 30 May 1987, becoming India's 25th state.
- Atal Bihari Vajpayee (born 25 December 1924) and Pandit Madan Mohan Malaviya (born 25 December 1861) are honoured on their birth anniversaries, which mark Good Governance Day.
- NACP V (2021-2026) is a central sector scheme aligned with SDG 3.3 to end AIDS as a public health threat by 2030.
- HIV prevalence declined from 0.33% in 2010 to 0.20% in 2024, and new infections fell from 1.25 lakh to 64,500 over the same period.

Mind-map outline

History, Heritage and Health

- Vande Mataram
 - Written in 1875
 - 1937: limited to two stanzas
 - National song from 1950
- UNESCO and festivals
 - Deepavali listed in 2025
 - India has 16 entries in total
- Birth anniversaries
 - Vajpayee and Malaviya: 25 December
 - Good Governance Day
- Goa and HIV response
 - Goa Liberation Day: 19 December
 - HIV prevalence 0.20% in 2024
 - New infections 64,500 in 2024

AILET Corner

December 2025 AILET Corner: Current Affairs Facts

Polity, Law and Regulators

This subtopic covers the contempt of court framework in India, including the Court of Record status given to the Supreme Court and High Courts. It also covers the UMEED portal for Waqf properties and the Competition Commission of India's probe into airline flight disruptions.

- Contempt of Courts Act, 1971 governs contempt proceedings in India
- Civil contempt: wilful disobedience of a judgment, decree, direction or order of a court
- Criminal contempt: publication or act that scandalises or lowers the authority of a court
- Criminal contempt also covers interfering with judicial proceedings and obstructing administration of justice
- Article 129: Supreme Court is a Court of Record with power to punish for its own contempt
- Article 215: High Courts enjoy similar Court of Record status with power to punish for contempt
- UMEED stands for Unified Waqf Management, Empowerment, Efficiency and Development under the Waqf Act, 1995
- UMEED is a centralised digital platform for Waqf property management, monitoring and transparency
- UMEED nodal agency: Ministry of Minority Affairs
- CCI is a statutory body under the Competition Act, 2002; established in 2003
- CCI took cognisance of IndiGo flight disruptions to probe possible abuse of dominant position

Mnemonic - UMEED expansion: Unified Management Empowers Efficient Development

U = Unified (Waqf Management); M = Management; E = Empowerment and Efficiency; D = Development

Mind-map outline

Polity, Law and Regulators

- Contempt of Courts Act, 1971
 - Civil contempt
 - Criminal contempt
- Court of Record status
 - Article 129: Supreme Court
 - Article 215: High Courts
- UMEED portal
 - Waqf Act, 1995
 - Ministry of Minority Affairs
- Competition Commission of India
 - Statutory body, Competition Act 2002
 - Probes IndiGo disruptions

Economy and Finance

This subtopic covers the RBI's regulation of Domestic Systemically Important Banks, the Integrated Ombudsman Scheme 2021 for customer grievances, and the Goldilocks economy after a repo rate cut. It also covers the Economic Census, which is conducted to build a business register and support planning.

- D-SIBs are referred to as 'Too Big To Fail'
- D-SIBs are banks whose failure could trigger a significant disruption in the financial system and economy
- D-SIBs are designated by the Reserve Bank of India
- D-SIBs must maintain higher Common Equity Tier 1 (CET 1) capital than regular banks
- Each D-SIB is placed in a risk bucket; a higher bucket means a higher additional CET 1 requirement
- Integrated Ombudsman Scheme 2021 merges the Banking (2006), NBFC (2018) and Digital Transactions (2019) ombudsman schemes
- Ombudsman can direct regulated entities to pay up to 20 lakh as compensation for financial loss
- Goldilocks economy: RBI cut the repo rate by 25 basis points to 5.25%, an economy neither too hot nor too cold
- Economic Census: first held in 1977; the next one is due in 2027, after the two-phase population census

Mind-map outline

Economy and Finance

- D-SIBs
 - Too Big To Fail
 - Higher CET 1 capital
 - Risk buckets by importance
- Integrated Ombudsman Scheme 2021
 - Merges three earlier schemes
 - Compensation up to 20 lakh
- Goldilocks economy
 - Repo cut by 25 basis points
 - Neither too hot nor too cold
- Economic Census
 - First held 1977
 - Next due 2027

Environment, Science and Defence

This subtopic covers the CAFE fuel-efficiency norms and their phases, the UNEP Global Environment Outlook (GEO-7) report, and the ISRO launch of BlueBird Block-2. It also covers wetland additions to the Ramsar List and the Majuli river island.

- CAFE norms are notified under the Energy Conservation Act, 2001
- CAFE objectives: reduce fuel consumption, lower CO₂ emissions, curb air pollution and reduce oil import dependency
- CAFE phases: Phase I 2017-18, Phase II 2022-23, Phase III 2027-32
- UNEP released the 7th Global Environment Outlook (GEO-7), 'A Future We Choose'; HQ in Nairobi

- Pollution is linked to 9 million deaths every year
- ISRO's LVM3-M6 launched BlueBird Block-2 into Low Earth Orbit on a commercial mission for AST SpaceMobile (USA)
- Indian Coast Guard inducted Samudra Pratap, an indigenous pollution control vessel
- Majuli: Charaichung Royal Bird Sanctuary was established in 1633 by Ahom ruler Pratap Singha; Majuli is the world's largest river island
- Siliserh Lake and Kopra Reservoir were added to the Ramsar List, taking India's total to 96 wetlands

Mind-map outline

Environment, Science and Defence

- CAFE norms
 - Energy Conservation Act, 2001
 - Phases: 2017-18, 2022-23, 2027-32
- Space launch
 - BlueBird Block-2 via LVM3-M6
 - Low Earth Orbit
- Environment reports and wetlands
 - GEO-7 by UNEP
 - Ramsar sites total 96
 - Majuli: largest river island
- Defence
 - Samudra Pratap pollution vessel

International Bodies and Conventions

This subtopic covers the US-led Pax Silica initiative, from which India is excluded, and SoLAR Phase II for solar irrigation. It also covers the Biological Weapons Convention, the UNESCO education convention, the Kimberley Process chair and the ADB.

- Pax Silica is a US-led strategic geo-economic and technology initiative; India is excluded from it
- Pax Silica covers the entire silicon value chain, from critical minerals to chips, AI infrastructure and logistics
- Pax Silica members: US, Japan, South Korea, Singapore, Netherlands, UK, Israel, UAE and Australia
- SoLAR (Solar Irrigation for Agricultural Resilience) Phase II covers India, Bangladesh, Kenya and Ethiopia
- SoLAR Phase I (2019-2024) was implemented by IWMI (Colombo) and the Swiss Agency for Development and Cooperation
- Biological Weapons Convention: opened for signature in 1972, entered into force in 1975, 189 member states
- Biological Weapons Convention prohibits development, production, stockpiling and use of biological and toxin weapons
- UNESCO Convention against Discrimination in Education was adopted in 1960; India has not ratified it
- ADB was established in 1966 and is headquartered in Manila; it revised India's FY26 GDP growth forecast to 7.2%
- India chairs the Kimberley Process from January 2026 to keep conflict diamonds out of global trade

Mnemonic - Pax Silica supply chain: Silicon Runs on Innovation

S = Secure supply chain; R = Resilient; I = Innovation-driven

Mind-map outline

International Bodies and Conventions

- Pax Silica
 - US-led; India excluded
 - Nine member countries
- SoLAR Phase II
 - Solar irrigation for agriculture
 - India, Bangladesh, Kenya, Ethiopia
- Biological Weapons Convention
 - Opened 1972, in force 1975
 - Bans biological and toxin weapons
- UNESCO and ADB

- UNESCO Discrimination Convention 1960
- ADB established 1966